not just wrong through random errors; there is malign intent in the errors. Weak checks and balances operating upon the official who controls raids will *induce* a higher probability of malign raids.

Under conditions of low state capacity, a big disruption such as demonetization should be subjected to greater scepticism than it would face in a high-state-capacity environment. This is because the probability of our being wrong, under Indian conditions of state capacity, is higher.

Do fewer things

We in India are late industrializers. We built a democracy at an early stage of development. Democracy has brought a large number of demands upon the state. It is difficult for elected leaders to ignore these demands. Too often, we have succumbed to mission creep. We tend to go after too many policy problems, and end up with inadequate resourcing on each of them. We are weak in public policy and public administration—across all areas—so the cost of undertaking any one of those activities is high.

There is a lot to gain by paring down to a smaller set of priorities, focusing upon them, and making genuine progress. If the scarce resources —of money and man-hours of key persons—could *focus* on a small set of important problems, we would get a lot more done. Along the way, we would learn how to own and operate a state.

This can be seen as one more message in sequencing. The correct sequence is to first focus on a few problems, learn how to do politics and public management, and then scale out into a larger number of problems.

Economist Joseph Stiglitz has argued that in developing countries, there are rampant market failures, and this calls for a larger scale of state intervention. While we agree on the presence of many market failures, our proposal would run in the opposite direction. We would argue in favour of the largest possible state that is feasible while achieving competence, and this is likely to be a very small state.